

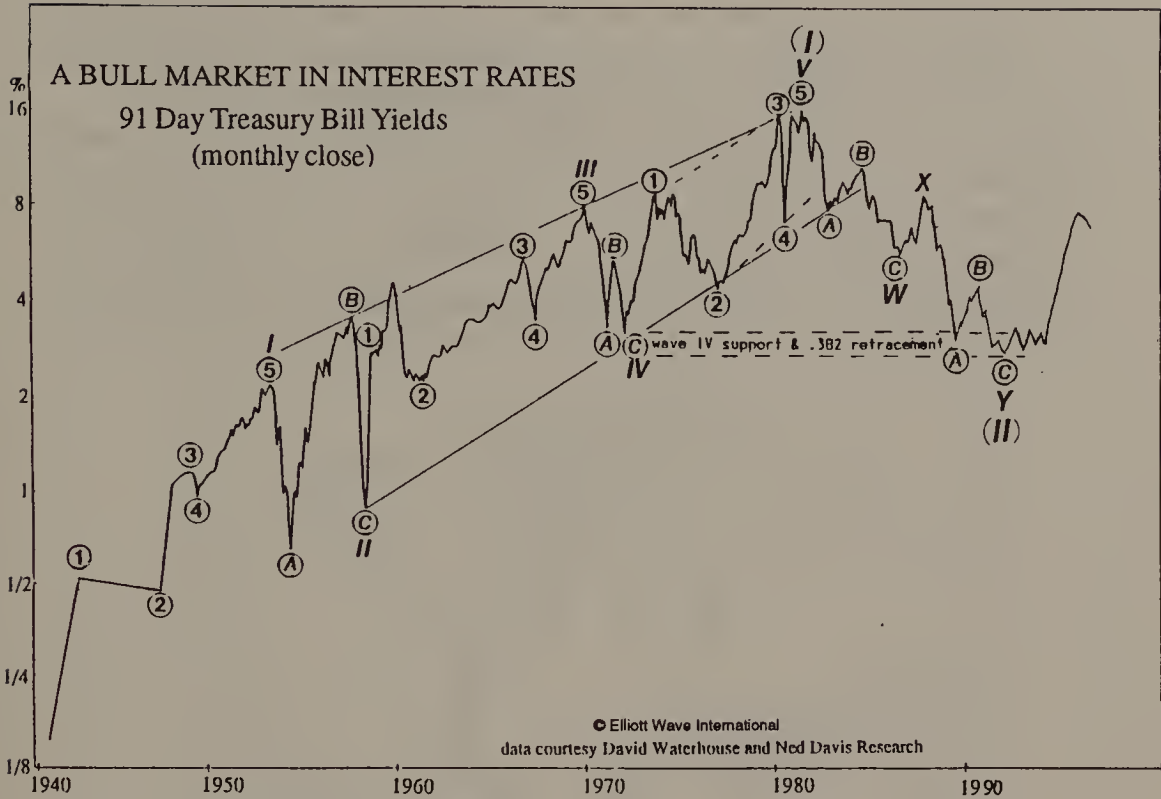


Figure 16-7

Remaining charts in this chapter will depict bond *prices*, as that is the investment that most people own and on which they are likely to lose money. This book, in contrast to the prevailing consensus, recommends in Chapter 21 the shortest term yield bearing instruments, so we will be positioned to *make* money on rising yields, not lose it.

The Start of Wave (III)

The behavior since the top in bond prices has been exquisitely consistent with the thesis that a new bear market wave of Supercycle degree is underway. From the 1993 high, bonds traced out a textbook five waves down into last year's low. It has been labeled accordingly as wave ①, as shown in Figure 16-8. Believe it or not, wave ① ranks as the worst 13-month period of this century for bond returns. It caught the financial establishment and economists completely off guard. The rally since then is wave ②, which should carry ideally to a .618 retracement near 112 basis 30-year T-bond futures (which is equivalent to a 30-year bond yield of 6.70), although second waves